

June 18, 2026

Vanessa A. Countryman, Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-109

Dear Ms. Countryman:

RE: Reforming Proposed Amendments to Permit Optional Semiannual Reporting by Public Companies -
File Number S7-2026-15

Thank you for the opportunity to comment on the Securities and Exchange Commission's proposal to permit domestic reporting companies to file one semiannual report on Form 10-S and one annual report per fiscal year, in lieu of quarterly reports on Form 10-Q. I am writing on behalf of Calcbench, a financial data platform used by institutional and individual investors, financial advisors, and fundamental research analysts.

Our firm strongly opposes moving away from quarterly reporting. If enacted, it will increase the costs to ALL investors. It will drive up transaction costs and limit price discovery. It will hurt exactly those investors that the SEC protects.

The Case for Change

The premise for allowing companies to report semi-annually rests primarily on reducing the regulatory and compliance burden of being a public company — lowering costs, enabling executives to focus on long-term strategic execution rather than short-term earnings pressure, and motivating more companies to go or remain public without undermining fundamental investor protections.

Proponents point to markets across the globe that have already made this shift, including the European Union and the United Kingdom, and countries that have always had a semi-annual reporting cadence, including Japan and Australia. They also point to a notable chorus of business leaders supporting the change, from Jamie Dimon of JPMorgan Chase¹ to Kunal Kapoor of Morningstar², Adena Friedman of Nasdaq³, and the Business Roundtable⁴, which represents approximately 200 CEOs of leading U.S. companies.

The Stronger Case for Quarterly Reporting

We strongly believe that these proposed changes have the potential to compromise the shareholders these companies ultimately serve. The CFA Institute surveyed 2,500 members working as investment analysts and portfolio managers as part of its recent report, [Investor Perspectives: Quarterly Reporting – What Investors Tell Us About Quarterly Reporting, Why It Matters and Why They Support It in an Era of Artificial Intelligence](#). These members strongly supported retaining mandatory quarterly reporting. In

¹www.bloomberg.com/news/articles/2025-10-07/dimon-would-welcome-change-in-quarterly-earnings-requirement?embedded-checkout=true

² <https://fortune.com/2026/05/05/morningstar-ceo-sec-quarterly-reporting-semiannual-kunal-kapoor/>

³ www.reuters.com/sustainability/boards-policy-regulation/nasdaq-supports-reforms-reduce-burden-public-companies-ceo-friedman-says-2025-09-15/

⁴ www.businessroundtable.org/business-roundtable-supports-move-away-from-short-term-guidance

addition, prominent asset managers and quantitative investment firms — including Citadel⁵, Fidelity⁶, Two Sigma⁷, Blackrock⁸, T.Rowe Price⁹, and D.E. Shaw¹⁰ — have all warned against the move.

Shareholders want more information, not less. Reduced reporting frequency will increase market price volatility, increase transaction costs, and diminish the ability to monitor company performance. Overall transparency won't increase — which is precisely why India and China, the two largest emerging markets, have moved toward quarterly reporting over the last several decades.

The demand for more data, not less, **is not theoretical**. Calcbench clients collectively manage more than \$20 trillion in assets under management, and our direct experience working with these institutions reveals how professional investors actually use quarterly financial disclosures. In a cohort of our institutional investors, data usage increased 20.3% year over year — from 285.5K to 343.5K queries to our database. That is a clear signal of **growing reliance on data, not diminishing need**.

That reliance runs deep. Institutional investors have built their analytical frameworks, risk models, and portfolio monitoring processes around the cadence of quarterly disclosure. A shift to semiannual reporting wouldn't just reduce the frequency of required filings; it would create extended periods when professional investors — and ultimately their retail clients — must make capital allocation decisions with materially less information about the companies they hold or are evaluating.

The information gap would not be filled equally. Institutional investors may be able to request data directly from company investor relations teams (which, incidentally, raises the risk of Regulation FD violations) — but retail investors have no such access. As for the claim that Form 8-K filings would bridge the gap: an 8-K can signal that something material has happened, but it does not translate that event into its income statement or balance sheet impact. That financial translation is precisely what quarterly reporting provides.

Nor do we believe that these changes will help the IPO market. As Shivaram Rajgopal, the Roy Bernard Kester and T.W. Byrnes Professor of Accounting and Auditing at Columbia Business School, has stated, “The defining feature of an IPO is information asymmetry — management knows the business; the public doesn't yet. Quarterly reporting is one of the fastest mechanisms to close that gap. Reducing it makes IPO investing more opaque, not less risky to avoid.”¹¹

Moreover, IPOs are already making a comeback with quarterly reporting intact. The Financial Times reported that “sixty US companies have gone public this year, raising nearly \$40bn, the highest year-to-date deal value since 2021, according to data from Dealogic that excludes listings of blank-cheque companies. Goldman expects that figure to rise to a record \$225bn this year following the raft of big listings.”¹²

The cost of the regulatory and compliance “burden” on public companies is the “cost” component of running a vibrant equity market. Authors of the above mentioned CFA Institute report, Sandy Peters and

⁵www.youtube.com/watch?v=y0ZrTZ-uUg0

⁶Ibid

⁷www.reuters.com/legal/government/two-sigma-de-shaw-join-wall-street-push-against-us-secs-bid-relax-quarterly-2026-04-15/

⁸ Ibid

⁹ Ibid

¹⁰ Ibid

¹¹ An excerpt from this article

<https://www.forbes.com/sites/shivaramrajgopal/2026/05/05/the-secs-semi-annual-reporting-proposal-a-solution-in-search-of-a-problem/> was posted on his LinkedIn.

¹² www.ft.com/content/f7dae4e1-d650-45ab-ac97-043c7a965d24?syn-25a6b1a6=1

Matthew Winters, highlight that the supposed costs for quarterly reporting “represents but a tiny fraction (.004%) of the approximately \$67 trillion in equity market capitalization of the NYSE and NASDAQ; and the SEC’s reporting framework established under the Securities Acts of 1933 and 1934 has been a major contributor to the investor confidence underlying these markets.”

Lastly, we do not believe that providing the option for companies to report semiannually will reduce a company’s “short-termism” and give executives the time and space to focus on long-term investments. As we’ve seen this year, thanks in part to AI, companies have moved away from short-termism and are investing for the long-term. Based on our recent earnings tracker¹³, which looked at roughly 3,600 companies from Q1 2025 to Q1 2026, we found that net capital expenditures are up 29.5% this year over last; companies are already making plans across long time horizons.

In Conclusion

While Calcbench appreciates the Commission’s effort to encourage more companies to access public capital markets, **we urge the Commission not to proceed with optional semiannual reporting**. Our opposition to this proposal stems from concerns about investor protection and our proprietary data, which shows demonstrated and growing demand for high-frequency financial data among the sophisticated market participants who rely on quarterly disclosures as a core input to their investment processes. We strongly believe these proposed amendments will be bad for large financial institutions and for small investors: friends, neighbors, and fellow Americans. Both directly and indirectly, costs on these people will increase.

If the goal is to reduce regulatory burden, streamlining the 10-Q is a more logical path. If the goal is long-term investment, the focus should be on executive compensation structures. But eliminating quarterly reporting is not a solution to any of the problems its proponents describe.

Sincerely,
Pranav Ghai
Co-Founder and CEO, Calcbench

¹³ <https://www.calcbench.com/blog/post/blogger5733115489165631503/Last-Call-on-Q1-Earnings-Updates>